# Challan Cash – Get Paid for the Delivery, Not the Paperwork

*Designing a solution for a frequent, urgent or high value transaction hassle for an Indian SME made easier through the mobile app.*

## Target Merchant: Who We Are Building For

We start with owner-run corrugated-box makers in clusters like Chakan and Peenya (₹1 to 15 crore turnover) that supply the same industrial buyers every week. Take Prakash*: he ships about ₹30 lakh a month to six buyers on 45-day terms. He runs the floor from an Android phone, a clerk keeps Tally, and goods go on shared tempos whose drivers live on WhatsApp. CNC, moulding and sheet-metal job shops are the next merchant segment, moving to more specialised sectors once the product takes off.

## How It Works Today: From Dispatch to Payment

A typical dispatch today moves like this:

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| **Day 0:** goods leave with the invoice. | **Day 1:** the buyer's gatekeeper stamps the challan "received subject to count and QC" and may write a shortage. |
| **Day 1 to 7:** the copy sits in the glovebox. | **Day 8 to 10:** the clerk gets it, sorts it out, sends the papers, and only then does the buyer book the invoice and put it in a payment run. |

## The Problem

A small manufacturer delivers goods today but waits weeks to get paid, and part of that wait is just paper. The buyer's accounts team books an invoice only when they can match it to the stamped delivery challan, and that copy rides in the driver's truck for 4 to 7 days. Meanwhile raw material and wages can't wait, so the owner borrows from local lenders at 2 to 3% a month or ties up 4 to 8 months of profit. Challan Cash gets the proof to the buyer the same day and lets the owner draw an advance against the delivery, from his phone.

## Core Pain Points

- **Chasing paper:** the owner keeps calling drivers for stamped copies, because the buyer won't book without them.
- **Late surprises:** a "40 damaged" note found a week later means the invoice doesn't match the buyer's goods receipt and gets held.
- **Expensive bridge:** about 9 days of dispatches, roughly ₹9 lakh for Prakash, are always stuck on paper. At informal rates that is about ₹2.7 lakh a year, around 7.5% of his gross profit.
- **No fit with formal credit:** banks want buyer confirmation, and TReDS needs the buyer to sign up and approve each invoice. Most buyers won't.

## Why a Mobile-First Solution

The proof is a piece of paper at the buyer's dock, far from the factory. Only a phone camera at that moment can catch it, and the driver is already familiar with WhatsApp. The owner already runs a significant part of the business from his phone.

## The Solution: How Challan Cash Works

A Dispatches entry in the Razorpay app. The core task takes about two minutes:

- Prakash sends the driver a one-time WhatsApp link from the dispatch (synced from Tally). No app or login for the driver.
- The driver photographs or uploads the stamped copy at the dock.
- **AI reads and flags:** stamp, GSTIN, date and handwriting, matched to the invoice line. It marks "subject to QC" as provisional and turns "40 damaged" into a received quantity and a draft credit note. Prakash confirms every value.
- **Proof sent:** emailed to the buyer's accounts. The status stays "Booking unconfirmed" until they reply with a GRN.
- **Optional advance from a partner lender via Razorpay Capital:** 50% now, the rest (up to 80%) when QC clears. Charges and APR are shown in the Key Facts Statement, accepted with a fingerprint.
- **Weeks later:** the buyer pays into an account in Prakash's own name. His standing instruction repays the lender, and the rest stays with him. Razorpay matches the payment and shows the split, but never holds the money.

## Key Product Decisions

- **Fixing the proof, not the invoice.** The invoice already exists. Booking waits on the stamped copy.
- **Advance in two parts.** Almost every gate stamp says "subject to QC". 50% at the dock and the rest on QC keeps the instant moment without lending against goods that may be rejected.
- **The buyer does nothing new.** Just an email, and an account in the supplier's name, approved once. New buyers verify by call-back first, and their advance is capped at 50% or lower based on updated risks.
- **AI flags, people decide.** The owner confirms readings, the clerk posts credit notes in Tally, and the lender decides eligibility. A stamp match is evidence, not proof.
- **Money never sits with Razorpay.** The lender pays the merchant directly and repayment goes straight to the lender, as RBI's Digital Lending Directions 2025 require.
- **Not building:** buyer portal, TReDS, two-way Tally sync, e-invoice and e-way bill, our own lending licence, non-recourse factoring.

## Merchant Benefits and Our Edge

Proof on Day 1 instead of Day 10 could free about ₹9 lakh for Prakash at no cost. The advance funds the remaining wait at about 16% a year, against about 30% for hundi. We count these separately and net of fees. The edge: for Udyam-registered suppliers, the buyer must pay within 45 days of acceptance (MSMED Act), and late payers lose the tax deduction (s.43B(h)). The time-stamped photo becomes the supplier's dated acceptance record, and the app flags overdue invoices. With over 10 million Indian businesses on Razorpay, there is also a data advantage: where records are available with consent and permitted access, invoice-linked payment history helps lending partners recognise repeat buyer–supplier relationships, assess payment timeliness and set advance limits, while buyer confirmation and lender checks stay in place.

## Measuring Success

**North star:** days from delivery to cash, against similar invoices without Challan Cash. Also: days from proof to booking (does digital proof actually change buyer processing?), challans captured within 24 hours (target above 70%), payments landing in the approved account (above 90%), AI corrections, and net loss on advances (below 0.3%), with disputes tracked separately.

## Key Assumptions and Next Steps

Buyers accept emailed proof and book faster because of it. Next step: 5 to 8 owners and two buyers' accounts teams, tracing recent dispatches from gate stamp to payment. Fast drawdown also assumes completed KYC and a lender-approved limit. Known gap: distribution. Not all of these merchants are on the Razorpay app today, but Razorpay's solutions are trusted by over 10 million Indian businesses, which gives us a head start. We reach them through existing RazorpayX customers, Tally partners and cluster associations.

***Prakash is a composite persona based on merchant interviews, not a real person***